



INDIA'S MACROECONOMIC STATISTICS have come under intense scrutiny in recent years. Matters reached a head a few months ago when the International Monetary Fund's (IMF's) Article IV Statement gave the national accounts a 'C' rating for the second consecutive year. The price data got a 'B' rating.

This comes even as the country's data systems are undergoing a massive overhaul after a gap of a decade. Estimates of retail inflation, national accounts and factory output will be based on a new series and base years with an updated basket of goods, weights and data sources.

60 | These will be released gradually, starting with the revised consumer price index (CPI), which will be published on February 12. That will be followed by release of national account estimates or second advance estimates of gross domestic product (GDP) for 2025-26 on February 27 on a new base year. The index of industrial production (IIP) is also being updated; the new series is likely to be released on May 28.

This mammoth exercise began a couple of years ago and required many surveys to get fresh data. Expert groups were formed to work on the methodology and data sources. The Ministry of Statistics and Programme Implementation (MoSPI) also held sev-

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eral rounds of discussions with a team from the World Bank, experts from the IMF and the United Nations on improving and compiling the methodology in the new series, says N.K. Santoshi, Director General, Central Statistics Office.

Saurabh Garg, Secretary of MoSPI, points out that this is far from a routine statistical update. "It requires a comprehensive review and refinement of hundreds of datasets, incorporation of new and emerging data sources, and meticulous methodological work to ensure the revised figures truly reflect the current structure of the economy," he says.

After all, better data will aid government policy-making and private sector decision-making. As Reserve Bank of India Governor Sanjay Malhotra noted recently, the exercise would help in making more calibrated policies and aid the central bank in sustaining price stability and improving economic growth.

THE CONCERNS

The MoSPI is hopeful that the updated indices would take care of concerns around the old base year, double deflation, as well as high statistical discrepancies, issues that have cropped up time and again in GDP estimates. The IMF has also flagged these issues. Double deflation is a statistical method to calculate the real value added by removing intermediate inputs at constant prices.

"National accounts data are available at adequate frequency and provide broadly adequate granularity. However, some methodological weaknesses somewhat hamper surveillance and warrant an overall sectoral rating for the national accounts of C," the IMF had noted. The methodological issues it flagged related to coverage, including an outdated base year; use of wholesale price index (WPI) as data source for deflators in the absence of a producer price index; and excessive use of single deflation, which may introduce cyclical biases.

Besides, the IMF said that at times there were sizable discrepancies between production and expenditure approaches for measuring GDP. To address that, the coverage of expenditure approach and informal sector would need to be enhanced.

On granularity, the IMF noted that a further breakdown of Gross Fixed Capital Formation (GFCF) by the institutional sector (published with a significant lag) and disaggregation of quarterly production and expenditure approach estimates would allow for a more detailed analysis of economic trends. GFCF is a measure of investments.